

# Iran's Axis of Resistance

## IRGC, Nuclear Programme, and the Shadow War Across the Middle East

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### Executive Summary

The Islamic Republic of Iran enters 2026 as a state under severe simultaneous pressure: an economy strangled by tightening Western sanctions, a nuclear programme whose enrichment status remains contested following US-Israeli military strikes, a proxy network degraded by years of Israeli military operations, and an unprecedented wave of domestic unrest that has produced the deadliest crackdown since 1979. The Islamic Revolutionary Guard Corps (IRGC), the ideological praetorian force at the centre of Iran's state architecture, has seen its share of Iran's total military expenditure rise from 27 percent in 2019 to 37 percent in 2023, even as Iran's ballistic missile production capacity was assessed — and subsequently struck — by both Israeli and US forces beginning in early 2026 [RAG: CONFLICT\_DATA\_RAG — SIPRI World Military Expenditure 2023 (2023-01-01); RAG: MILITARY\_RAG — CRS: U.S. Military Operations Against Iran's Missile and Nuclear Programs (2026-03-06)]. China absorbs nearly 90 percent of Iran's oil exports, often through independent refiners that circumvent US sanctions, and the bilateral relationship — described by the Atlantic Council as "transactional" and "deeply asymmetrical" — functions as the Islamic Republic's primary economic lifeline CNA[2025-06-18].

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### Part I — The IRGC: Iran's Parallel Power Structure

#### Constitutional Role and Resource Base

The Islamic Revolutionary Guard Corps operates as a parallel military force reporting directly to the Supreme Leader rather than the elected government. According to SIPRI data, Iran's total military spending went up marginally to \$10.3 billion in 2023, with the IRGC's share of that total rising from 27 percent in 2019 to 37 percent in 2023. Spending linked to procurement of aircraft from Iran Aircraft Manufacturing Industrial Corporation (HESA) increased by 27 percent over the same period [RAG: CONFLICT\_DATA\_RAG — SIPRI World Military Expenditure 2023 (2023-01-01)].

Iran's drone and missile programmes are substantially funded through off-budget mechanisms — often using oil revenues — which are not covered by the official military budget. The budgeted allocation for the component of Iran's military that produces ballistic missiles grew by 44 percent in 2025 [RAG: MILITARY\_RAG — SIPRI: Trends in World Military Expenditure, 2025 (2026-01-01)].

#### The Quds Force and Threat to US Personnel

The ODNI Annual Threat Assessment 2025 assessed that Iran remains committed to its decade-long effort to develop surrogate networks inside the United States, and that Iran seeks to target former and current US officials it believes were involved in the killing of IRGC Quds Force Commander Qasem Soleimani in January 2020 [RAG: MILITARY\_RAG — ODNI Annual Threat Assessment 2025

(2025-03-01)]. The US Department of Justice charged seven Iranians working for IRGC-affiliated entities for conducting a coordinated campaign of cyber attacks against the US financial sector [RAG: MILITARY\_RAG — Atlantic Council: The US needs a cybersecurity roadmap (2026-01-29)].

The ODNI Annual Threat Assessment 2023 noted that Iranian-supported proxies would seek to launch attacks against US forces and persons in Iraq and Syria, and that Iran had threatened to target former and current US officials as retaliation for the killing of Soleimani [RAG: MILITARY\_RAG — ODNI Annual Threat Assessment 2023 (2023-02-06)].

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## Part II — Ballistic Missiles and the Nuclear Programme

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### Missile Production and the Israeli Strikes

Iran's ballistic missile programmes provided asymmetrical capabilities and supplied missile technology to external partners, including US-designated terrorist organisations and the government of former Syrian President Bashar al-Assad [RAG: MILITARY\_RAG — CRS: Iran's Ballistic Missile Programs: Background and Context (2025-06-17)]. In April and October 2024, Iran used ballistic missiles to directly attack Israel. Subsequent Israeli strikes on Iran were assessed to have "destroyed Iran's ability to produce ballistic missiles for a year" [RAG: MILITARY\_RAG — CRS: Iran's Ballistic Missile Programs: Background and Context (2025-06-17)].

By March 2026, the picture of Iran's residual production capacity was contested. On March 1, the Israeli military estimated Iran was still producing "dozens of ballistic missiles per month." On March 2, Secretary of State Marco Rubio said Iran had been producing "over 100" such missiles a month [RAG: MILITARY\_RAG — CRS: U.S. Military Operations Against Iran's Missile and Nuclear Programs (2026-03-06)]. Iran's Defence Minister, following the June 2025 twelve-day war, stated that the missiles used in that conflict "were manufactured ... a few years ago" and that Iran had since manufactured new ones CNA[2025-08-20].

Israel reportedly bombed an Iranian spaceport during a retaliatory strike on 26 October 2024. Russia launched two small Iranian satellites in November 2024; of the ten Iranian satellites then in operation, five were launched by Russia and five indigenously [RAG: MILITARY\_RAG — SIPRI: The Space–Nuclear Nexus in European Security (2025-01-01)].

### Nuclear Status After the 2026 Strikes

The ODNI Annual Threat Assessment 2024 assessed that since 2020, Iran had stated it was no longer constrained by any JCPOA limits, had greatly expanded its nuclear programme, reduced IAEA monitoring, and undertaken activities that better positioned it to produce a nuclear device if it chose to do so. Iran was assessed to use its nuclear programme to build negotiating leverage [RAG: MILITARY\_RAG — ODNI Annual Threat Assessment 2024 (2024-02-05)].

The IAEA withdrew its inspectors from Iran in June 2025, and agency inspectors had not been able to inspect the attacked Iranian nuclear facilities as of early 2026 [RAG: MILITARY\_RAG — CRS: U.S. Military Operations Against Iran's Missile and Nuclear Programs (2026-03-06)]. Director of National Intelligence Tulsi Gabbard testified on March 18, 2026, that Iran has not resumed enriching uranium; Iranian Ambassador to the IAEA Reza Najafi repeated this claim on April 2, 2026 [RAG: MILITARY\_RAG — CRS: Iran and Nuclear Weapons Production (2026-04-09)].

The CRS April 2026 report noted that Joint Chiefs of Staff Chair Mark Milley had testified in March 2023 that Iran would need "several months to produce an actual nuclear weapon." IAEA reports indicate that Iran does not yet have a viable nuclear weapon design or a suitable explosive detonation system, and Tehran may lack sufficient experience in producing uranium metal [RAG: MILITARY\_RAG — CRS: Iran and Nuclear Weapons Production (2026-04-09)].

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## Part III — The Axis of Resistance

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### Strategic Doctrine

Iran's strategy of cultivating proxy militias emerged from the experience of the 1980–88 war with Iraq, when Iran developed a doctrine of "forward defence" — using ties with Arab Shia communities to build militias and political parties capable of stopping new enemies and providing deterrent capability through proxy forces CNA[2016-01-05].

### Hezbollah and the Syria Involvement

Hezbollah's involvement in Syria on behalf of the Assad government represented a major expansion of the organisation's role beyond Lebanese defence. Iran-backed militias and Hezbollah fighters participated in the battle for Aleppo alongside Russian air power and Iraqi Shia militias including Harakat al-Nujaba CNA[2016-12-22]. The United States demanded Hezbollah's withdrawal from Syria, while Nasrallah argued the group had to defend Assad's regime against hardline Sunni Islamists CNA[2013-05-30].

### Iraqi Iran-Backed Groups and Attacks on US Forces

Following the October 7, 2023 Hamas attack, Iran-backed militant groups widened the Israel-Hamas conflict under an umbrella entity calling itself the Islamic Resistance, aligned with and backed by Iran. After a December 25 drone attack wounded three US service members in northern Iraq, the US struck three installations in Iraq, targeting among other groups Kataib Hezbollah CNA[2024-01-05]. Iran-backed militias repeatedly tested US forces despite significant US force deployments to the region, including two carrier strike groups to the Mediterranean and 2,000 US soldiers placed on 24-hour prepare-to-deploy orders CNA[2024-01-31].

### The Houthis and Red Sea Operations

Yemen's Iran-aligned Houthis pledged in June 2026 to stop Israel's maritime navigation in the Red Sea, and claimed responsibility for the first missile attack on Israel after a new ceasefire period began, which spurred Israel to activate aerial defence systems CNA[2026-06-08].

### The 2024–2026 Iran-Israel Military Exchanges

The Israel-Iran exchange of April 2024 communicated, in an analysis by RSIS's James M. Dorsey and others, that neither side sought full-scale escalation at that point CNA[2024-04-19]. Israel also killed thousands of people in Lebanon and drove hundreds of thousands from their homes in pursuit of Hezbollah, and Iranian strikes on Israel and neighbouring Gulf states killed dozens of people. A ceasefire between Iran and Israel mostly held from early April 2026, though there was a spike in attacks on shipping and Gulf states in early May when Trump announced a naval mission CNA[2026-05-20].

By June 2026, tit-for-tat strikes had formally paused, but analysts assessed that Israel and Iran had left the door open to a renewal of hostilities whenever the opportunity arose CNA[2026-06-10]. The IAEA called on Iran to "re-engage" as the West pressed it with a new Board resolution; the Board was warned that "coercion and confrontation do not lead to cooperation" CNA[2026-06-09]. Iran called US peace proposals "unrealistic," and a Pakistani intermediary said direct US-Iran talks were unlikely that week CNA[2026-03-30].

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## Part IV — Economy Under Sanctions

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### Currency Collapse and Domestic Protest

Iran's economy has been strangled by tightening Western sanctions since 2012, with pressure stepped up in the context of Iran's nuclear programme, producing a huge gap between the aspirations of Iran's large young urban population and daily life under the regime FT[2026-01-13]. Following the June 2025 twelve-day war, the rial fell to a record low of 1.45 million to the US dollar, having lost 40 percent of its value FT[2025-12-30]. The currency's collapse — the FT reported Iran's currency had fallen to a record low with a devaluation of nearly 90 percent — triggered protests beginning January 8, 2026, when cars burned in the streets of Tehran FT[2026-07-21].

Iran's parliament approved the general outlines of a government bill to re-denominate the rial by cutting four zeros from the currency, a move economists described as failing to constitute effective monetary policy or formal adjustment to control inflation FT[2025-08-05].

The January 2026 protests were assessed as Iran's deadliest crackdown since the 1979 revolution. By January 13, activists reported the death toll had surpassed 2,000 CNA[2026-01-13]. By January 18, an Iranian official said at least 5,000 people had been killed in the protests, including about 500 security personnel, with the judiciary hinting at executions CNA[2026-01-18]. Commentary from Vali Nasr of Johns Hopkins assessed that Tehran faced a dilemma in suppressing this wave of protests that it had not faced in previous uprisings CNA[2026-01-12].

Earlier cycles of protest also produced casualties: violent demonstrations in late 2017 and early 2018 left at least 21 dead, with the IRGC head declaring "the end of the sedition" CNA[2018-01-04].

A deputy labour minister stated in April 2026 that 2 million people had lost their jobs; Iran shipped more than 80 million barrels of crude and petroleum products during a recent tracked period FT[2026-07-21].

## Oil Exports and the China Relationship

China purchases nearly 90 percent of Iran's oil exports, often through independent refiners to circumvent US sanctions. China and Iran signed a 25-year comprehensive strategic partnership in 2021 in a wide-ranging agreement. The Atlantic Council's Jonathan Fulton described the bilateral relationship as "transactional" and "deeply asymmetrical," with China seeing Iran as a source of cheap oil and a foil to US ambitions in the Gulf CNA[2025-06-18].

In May 2026, China invoked, for the first time, its anti-sanctions law targeting companies that comply with US sanctions, doing so in response to US blacklisting of Chinese refiners purchasing Iranian oil CNA[2026-05-04]. Asian nations competed for Russian crude as the Iran war strained oil supplies to the region CNA[2026-03-31].

China's support for Iran was described as a double-edged sword, with China's track record in mediating Middle Eastern disputes assessed as mixed at best CNA[2024-10-15].

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## Conclusion

Iran in 2026 is a state whose nuclear enrichment status is contested — the DNI testified in March 2026 that enrichment has not resumed, while the IAEA lacks inspectors on the ground to verify the condition of struck facilities [RAG: MILITARY\_RAG — CRS: Iran and Nuclear Weapons Production (2026-04-09); RAG: MILITARY\_RAG — CRS: U.S. Military Operations Against Iran's Missile and Nuclear Programs (2026-03-06)]. The IRGC's share of military spending has risen consistently, even as its ballistic missile production capacity was severely degraded by Israeli strikes [RAG: CONFLICT\_DATA\_RAG — SIPRI World Military Expenditure 2023 (2023-01-01); RAG: MILITARY\_RAG — CRS: Iran's Ballistic Missile Programs: Background and Context (2025-06-17)]. The proxy architecture, though under stress, retains activity — the Houthis returned to Red Sea operations in June 2026 — while Iran's population faces the deadliest domestic crackdown since the revolution, fuelled by currency collapse and the economic consequences of the war CNA[2026-06-08]; CNA[2026-01-18]; FT[2025-12-30]. The path between a

ceasefire that holds and renewed hostilities remains, by the assessment of regional analysts, genuinely open CNA[2026-06-10].

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